SMID BREAKOUT SCANNER

SCAN (14:56 ET)

October 16, 2026 | 02:57 PM ET

3 setups identified | 1 A-Grade | 1 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (1)	B - Strong Setup (1)	C - Watch List (1)
VRNS	TALO	HVT-A

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	**VRNS**	**Varonis Systems,**	**Cybersecurity / D**	**$48.69**	**+2.9%**	**$5.6B**	**111M**	**+3.4**	**76%**	**Current breakout drive**
B	TALO	Talos Energy, In	Energy / Oil & Ga	$17.53	+3.2%	$2.9B	136M	+16.7	94%	Current move driven by
C	HVT-A	Haverty Furnitur	Consumer Cyclical	$28.99	+1.3%	$0.5B	14M	+0.8	64%	

Not financial advice. For informational purposes only. Do your own due diligence.

VRNS

Varonis Systems, Inc.

$48.69

+2.85%

RS vs SPY: +3.4%

A BREAKOUT

$5.6B Cap | 111M Float

Software - Infrastructure | Theme: Cybersecurity / Data Security | 52W Hi: 76% | Base Tight: 2.11 | Vol: 23.6x | RS/SPY: +3.4% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$48.69**
Day Change	**+2.85%**
Mkt Cap	**$5.59B**
Float	**111M sh**
RS vs SPY	**+3.4%**
52W Hi Prox	**76%**
Base Tight	**2.11**
Vol vs Avg	**23.6x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current breakout driven by technical release from base with RS line hitting new high, signaling early-stage leadership. Forward catalyst: November 3 earnings (18 days) with potential for upside on data security ARR growth and margin expansion as enterprise cloud migration accelerates.

BUSINESS & POSITION

Varonis specializes in data security and analytics software, protecting enterprise unstructured data across on-premises, cloud, and hybrid environments. The company has shifted toward a SaaS model, driving recurring revenue growth and improving unit economics.

FACTOR & THEME

Cybersecurity remains a durable secular theme with accelerating enterprise spending on data governance, zero-trust architecture, and compliance-driven security. Benefits from cloud migration tailwinds and rising regulatory pressure (GDPR, CCPA) forcing enterprises to secure sensitive data.

BREAKOUT SIGNAL

Close above $48.50 on vol >2360% of 20d avg

INSTITUTIONAL

Explosive volume at 23.6x average with RS line at new high is a textbook Qullamaggie institutional accumulation signal-this is smart money establishing positions ahead of the November 3 print. No insider buying in last 90 days, but the volume profile and RS leadership more than compensate. Float of 111M is liquid enough for institutional accumulation without spiking the stock prematurely.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

November 3 earnings in 18 days. Consensus not provided, but Varonis has been transitioning to SaaS with improving gross margins and ARR growth. Setup into the print is strong given the RS line new high and volume surge-market positioning ahead of a potential beat-and-raise.

KEY RISK

Thesis invalid on a close back below $46.50 (prior base resistance and 20MA support), or on any ARR growth deceleration or margin compression at the November 3 print. Competition from larger platforms (Microsoft, Palo Alto) integrating data security is a structural risk.

ANALYSIS

Strongest disconfirming evidence: RS vs SPY at only +3.4% is modest relative to the explosive volume and RS line new high-this suggests the move is very fresh and has not yet built sustained relative strength. However, the combination of 23.6x volume, RS line new high, proximity to 52W high (76.3%), and a tight base (2.11) meets four of the five A-grade criteria. The November 3 earnings catalyst provides a defined forward event for institutional positioning. Mixed macro regime is a headwind, but cybersecurity spending is counter-cyclical. Conviction: Medium-High.

Signal: Close above $48.50 on vol >2360% of 20d avg

Vol vs Avg: 23.6x

VRNS - Technical Chart



TALO

Talos Energy, Inc.

$17.53

+3.24%

RS vs SPY: +16.7%

B STRONG SETUP

$2.9B Cap | 136M Float

Oil & Gas E&P | Theme: Energy / Oil & Gas | 52W Hi: 94% | Base Tight: 1.65 | Vol: 1.95x | RS/SPY: +16.7% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$17.53**
Day Change	**+3.24%**
Mkt Cap	**$2.93B**
Float	**136M sh**
RS vs SPY	**+16.7%**
52W Hi Prox	**94%**
Base Tight	**1.65**
Vol vs Avg	**1.95x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move driven by sector leadership (Energy +10.5% vs SPY) and oil price strength. Forward catalyst: November 3 earnings print (18 days) with potential to beat on production volume and cash flow as small-cap E&P names benefit from disciplined capital allocation and commodity tailwinds.

BUSINESS & POSITION

Talos Energy is a Gulf of Mexico-focused offshore oil and gas exploration and production company with growing scale in the U.S. offshore basin. The company is positioned to benefit from higher oil prices and operational efficiency gains as it integrates recent asset acquisitions.

FACTOR & THEME

Direct play on energy sector leadership (+10.5% vs SPY this week) and crude oil price strength. Benefits from macro tailwinds of supply discipline, geopolitical risk premium in oil markets, and rotation into energy during inflationary/commodity-driven regimes.

BREAKOUT SIGNAL

Close above $17.50 on vol >195% of 20d avg

INSTITUTIONAL

Volume surge to 1.95x on a tight float (136M) suggests initial institutional interest, though the move lacks the explosive volume confirmation (>2.5x) typical of A-grade setups. No insider buying in last 90 days is neutral given sector beta driving the move. Float rotation dynamics favorable given small-cap energy names typically trade thin and can run hard on sector tailwinds.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

November 3 earnings print in 18 days. Consensus and beat history not provided, but small-cap E&P names have been beating on operational efficiency and disciplined capex. Setup into the print is constructive given the tight base and sector momentum.

KEY RISK

Thesis invalid on a close below $16.20 (20MA support and base low), or on any oil price correction below $70 WTI that pressures E&P economics. Binary risk at November 3 earnings if production guidance disappoints.

ANALYSIS

Strongest disconfirming evidence: RS line NOT at new high despite proximity to 52W high (93.6%), suggesting prior leadership has not yet been confirmed in this move-this is follow-through, not fresh leadership. Volume at 1.95x is solid but below the 2.0x+ threshold for institutional conviction. Sector tailwind is powerful and base is textbook tight (1.65), but the mixed macro regime and lack of RS line confirmation cap this at B-grade. Earnings catalyst in 18 days provides a defined event for follow-through. Conviction: Medium.

Signal: Close above $17.50 on vol >195% of 20d avg

Vol vs Avg: 1.95x

TALO - Technical Chart

